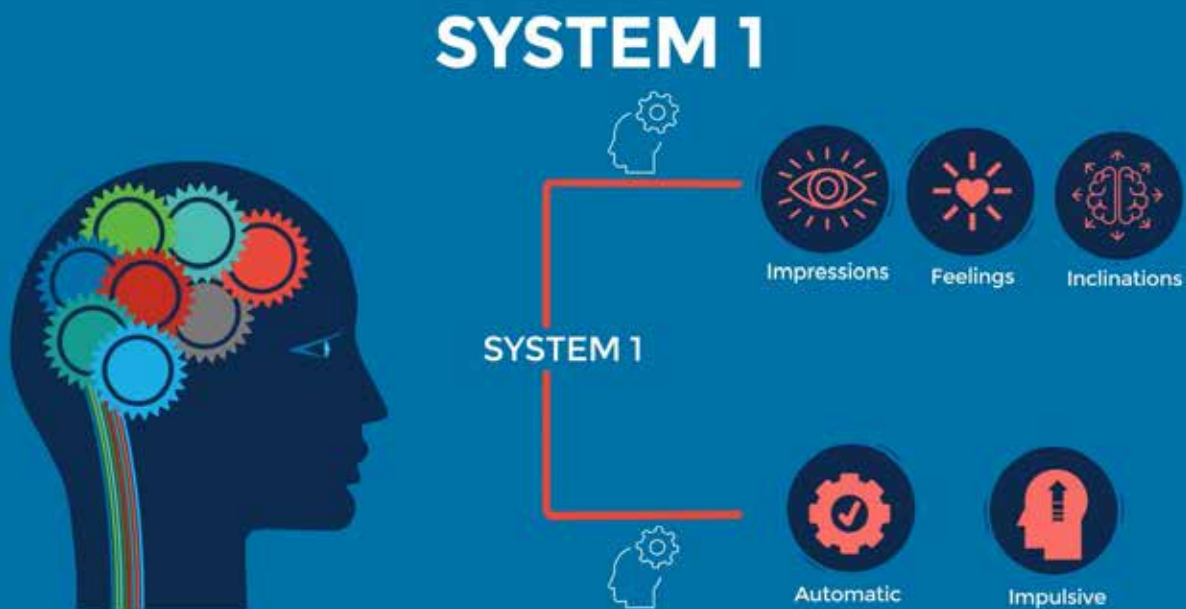


LESSON SUMMARY

— Need For Data Driven Decisions —

There are 2 basic modes of thinking – **System 1 and System 2.**

System 1 - The thinking is intuitive – fast, automatic and emotional – based on simple mental rules of thumb (“heuristics”) and thinking biases (cognitive biases) that result in impressions, feelings and inclinations.



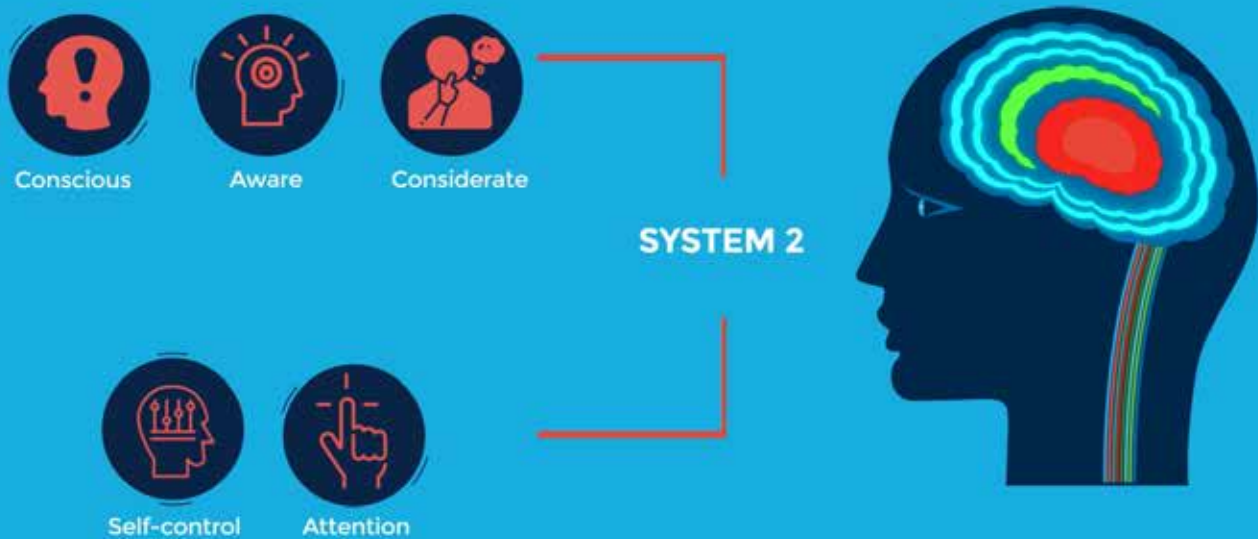
System 1 is automatic and impulsive. It's the system you use when someone sketchy enters the train and you instinctively turn towards the door and what makes you eat the entire bag of chips in front of the TV when all you wanted was just a small bowl. System 1 is a remnant from our past, and it's crucial to our survival. Not having to think before jumping away from a car when it honks at you is quite useful, don't you think? It is fast but in order to be fast, it relies on short cuts. This leads to quick decisions but sometimes the quick decision could be wrong because of the short cut our mind has taken to reach it.

SYSTEM 1



System 2 - This is rational thinking – slow, deliberate and systematic – and based on considered evaluation that result in logical conclusions. System 2 is very conscious, aware and considerate.

SYSTEM 2



It helps you exert self-control and deliberately focus your attention. This system is at work when you're meeting a friend and trying to spot them in a huge crowd of people, as it helps you recall how they look and filter out all these other people.

System 2 is one of the most 'recent' additions to our brain and only a few thousand years old. It's what helps us succeed in today's world, where our priorities have shifted from getting food and shelter to earning money, supporting a family and making many complex decisions.

System 1 uses heuristics to make faster decisions. In psychology, heuristics are simple, efficient rules which people often use to form judgments and make decisions. They are mental shortcuts that usually involve focusing on one aspect of a complex problem and ignoring others. These rules work well under most circumstances, but they can lead to systematic deviations from logic, probability or rational choice theory. The resulting errors are called "cognitive biases" and many different types have been documented.

SYSTEM 1 VS SYSTEM 2

Why does the brain do this?



Brain wants to save energy

Law of Least Energy

The brain uses the minimum amount of energy for each task it can get away with

Anchoring, attribute substitution, representativeness etc. are example of cognitive biases that plague our thinking.

Today's business environment is an extremely complex one. There is a tremendous amount of information generated and accessible. In order to make reliable decisions in such environments, it is important to rely on data. Data provides us with insights that are free of our cognitive biases and therefore leads to better decisions.